

Product Cost Calculation

	Var	Abs - YR 1	Abs - YR 2
DM	\$ 24.00	\$ 24.00	\$ 24.00
DL	\$ 16.00	\$ 16.00	\$ 16.00
V MOH	\$ 10.00	\$ 10.00	\$ 10.00
F MOH		\$ 20.00	\$ 24.00
Total	\$ 50.00	\$ 70.00	\$ 74.00

Variable Costing Income Statement - Year 1

Revenue	\$ 100.00	10,000	\$ 1,000,000.00
-Var COGS	\$ 50.00	10,000	\$ 500,000.00
- Var Selling	\$ 6.00	10,000	\$ 60,000.00
Contribution Margin	\$ 44.00	10,000	\$ 440,000.00
- Fix MOH			\$ 240,000.00
- Fix Selling & Admin			\$ 150,000.00
Operating Income			\$ 50,000.00

Absorption Costing Income Statement - Year 1

Revenue	\$ 100.00	10,000	\$ 1,000,000.00
- Cogs	\$ 70.00	10,000	\$ 700,000.00
Gross Profit			\$ 300,000.00
- Var Selling Exp			\$ 60,000.00
- Fix Selling & Admin Exp			\$ 150,000.00
Operating Income			\$ 90,000.00

\$20 FIX MOH Per Unit
10,000 Units Sold
\$200,000
\$ 240,000
(\$40,000)

Variable Costing Income Statement - Year 2

Revenue	\$	100.00	12,000	\$	1,200,000.00
-Var COGS	\$	50.00	12,000	\$	600,000.00
- Var Selling	\$	6.00	12,000	\$	72,000.00
Contribution Margin	\$	44.00	12,000	\$	528,000.00
- Fix MOH				\$	240,000.00
- Fix Selling & Admin				\$	150,000.00
Operating Income				\$	138,000.00

Absorption Costing Income Statement - Year 2

Revenue	\$	100.00	12,000	\$	1,200,000.00
- Cogs Yr 1 Units (Beg Inv	\$	70.00	2,000	\$	140,000.00
- Cogs Yr 2	\$	74.00	10,000	\$	740,000.00
Gross Profit				\$	320,000.00
- Var Selling Exp				\$	72,000.00
- Fix Selling & Admin Exp				\$	150,000.00
Operating Income				\$	98,000.00

Prod > Units Sold	Abs Income > Var Income
Prod < Units Sold	Abs Income < Var Income
Prod = Units Sold	Abs Income = Var Income